Executive Summary: Customer Retention & Product Utilization Strategy

European Central Bank · Retail Banking Supervision Briefing

1. Core Problem & At-Risk Capital

Analysis of 10,000 retail banking customers reveals an urgent structural threat: portfolio churn stands at **20.37%** (2,037 lost accounts), representing **€185,588,095 in lost customer deposits**. Furthermore, churners hold 25.2% higher average balances than retained clients (€91,109 vs €72,745), proving that high balances do not prevent silent customer departure.

2. Key Behavioral & Portfolio Drivers

Driver Category	Observed Metric	Strategic Implications
Product Depth Inflection	1 Prod: 27.7% | 2 Prods: 7.6% | 3+ Prods: 82.7%	2 products provides the optimal switching barrier; 3-4 products creates fee/service
Member Activity	Active: 14.3% | Inactive: 26.9%	Inactivity doubles churn hazard rate. Digital engagement is mandatory for retentio
Geographic Risk	Germany: 32.4% vs France: 16.2% & Spain: 16.7%	German customer base suffers acute competitive vulnerability requiring localized
High-Balance Dormancy	Top-Quartile Inactive Churn: 30.5%	Silent attrition among dormant affluent depositors accounts for the bulk of capital f

3. Machine Learning Model Performance

The production Gradient Boosting model achieves **0.8668 ROC-AUC**, **87.1% accuracy**, and **78.7% precision**, successfully capturing early risk indicators 90 days before account closure.

4. Financial Impact & ROI of Targeted Retention

• **Target Intervention Cohort:** 1,500 high-risk, high-balance inactive accounts identified by the ML scoring engine.

• **Campaign Investment:** €300,000 (€200 per client in relationship manager outreach, fee restructuring, and onboarding incentives).

• **Expected Retention Lift:** 25% churn reduction (~375 accounts preserved).

• **Preserved Deposit Base:** 375 accounts * €91,100 average balance = **€34.16 Million in preserved deposits**.

• **Net Interest Margin Value (2.5% NIM):** €854,000 annually -> **Year-1 Direct ROI of 185%** (580% 3-year CLV ROI).

5. Governance & Policy Implications

• **Product Governance:** Prohibit misaligned cross-selling quotas targeting 3+ products without relationship integration.

• **Early Warning Integration:** Embed predictive risk scores into branch CRM dashboards to alert relationship managers upon 60-day customer inactivity.

• **Fairness & Privacy:** Ensure credit and deposit pricing policies are insulated from demographic biases (age, gender).